

I. **The accounting process includes:**

Classifying, Recording, Marketing and/or Summarizing

Answer: Classifying, Recording and Summarizing

II. **What is the basic accounting equation?**

Answer: Assets = Liabilities + Equity

III. **Prepare Journal Entry for these transactions: (Debit and Credit)**

a. Lease Contract: Rent Expense, Security Deposit, Input VAT, Withholding Tax and Cash

Answer:

a. Lease Contract: Rent Expense, Security Deposit, Input VAT, Withholding Tax and Cash			
Date	Transactions	Debit	Credit
12/10/2021	Prepaid Rent	₱ 1,138,392.86	
	Security Deposit	1,275,000.00	
	Input VAT	136,607.14	
	Cash		₱ 2,499,178.89
	Withholding Tax Payable		50,821.11
	<i>To record three (3) months security deposit and three (3) months advance rental</i>		
12/31/2021	Rent Expense	₱ 379,464.29	
	Prepaid Rent		₱ 379,464.29
	<i>To recognize rent expense for the month (using half-month convention)</i>		

b. Vendor Invoice: Janitorial Expense, Input VAT, Withholding Tax and Cash

Answer:

b. Vendor Invoice: Janitorial Expense, Input VAT, Withholding Tax and Cash			
02/29/2024	Janitorial Expense	₱ 49,771.79	
	Input VAT	5,972.62	
	Cash		₱ 53,255.82
	Withholding Tax Payable		2,488.59
	<i>To record janitorial services expense for February 2024</i>		

- IV. Prepare Bank Reconciliation Statement for the month of June 2022 from these given variables:

- c. Bank Reconciliation May 2022 (attached in email)
- d. Bank Balance for the month of June 2022 (attached in email)

ANSWER: **MS EXCEL**

- V. **Research about Board of Investment (BOI) Registered Company Reportorial Requirements**

BOI-registered companies are generally required to submit:

- a. Audited Financial Statements - Annual financial reports examined by an external auditor to verify accuracy and compliance.
- b. Income Tax Return - Annual tax filing submitted to BIR showing company income and taxes due.
- c. Quarterly Production Reports - Reports showing the company's production output and operational performance.
- d. Employment Reports - Reports containing information about the company's employees and workforce.
- e. Importation Reports - Reports of imported materials, equipment, or goods used by the company.
- f. General Information Sheet (GIS) - SEC-required document containing updated company information and officers.
- g. Certificate of Good Standing requirements - Documents proving the company complies with BOI and government regulations.
- h. Other compliance reports required by BOI - Additional reports requested by BOI to monitor company compliance and incentives

- VI. **List down the checklist of document requirements in processing Accounts Payable.**

- a. Purchase Request - Internal request to purchase goods or services.
- b. Purchase Order - Official document sent to supplier to order goods or services.
- c. Delivery Receipt - Proof that goods were delivered to the company.
- d. Sales Invoice / Official Receipt - Document showing the amount billed by the supplier.
- e. Statement of Account - Summary of outstanding balances and transactions with supplier.
- f. Receiving Report - Internal report confirming receipt and condition of delivered items.

- g. Approval from authorized personnel - Confirmation that the transaction was reviewed and approved.
- h. Supplier details / accreditation - Supplier information and accreditation documents for validation.
- i. Tax Identification Number (TIN) - Supplier's registered tax identification number for tax compliance.
- j. Payment Voucher - Internal document authorizing payment processing.
- k. Supporting documents and contracts - Additional agreements or documents supporting the transaction.

VII. **Process vs. Control (Audit Perspective)**

Process – A process refers to the step-by-step procedures performed to complete specific tasks or business activities. In auditing, understanding the company's processes is important to determine how transactions are initiated, recorded, processed, and reported. This helps ensure that financial information is accurate, reliable, and free from material errors.

Controls – Controls are policies and procedures implemented by the company to maintain the integrity and reliability of financial statements. They are designed to reduce the risk of fraud, errors, and misstatements. In auditing, auditors evaluate relevant controls based on professional judgment to determine whether the controls are properly designed and effectively implemented for financial statement audit purposes.